Chapter Review

Key Terms

Base of the pyramid (BoP) (Economies where people make less than $2,000 per capita per year.)

BRIC (Brazil, Russia, India, and China.)

BRICS (Brazil, Russia, India, China, and South Africa.)

Emerging economy (A term that has gradually replaced the term “developing countries” since the 1990s.)

Emerging market (A term that is often used interchangeably with “emerging economies.”)

Expatriate manager (expat) (A manager who works abroad, or “expat” for short.)

Foreign direct investment (FDI) (Investing in, controlling, and managing value-added activities in other countries.)

Global business (Business around the globe.)

Globalization (The close integration of countries and peoples of the world.)

Great Transformation (Transformation of the global economy embodies by the tremendous shift in economic weight and engines of growth toward emerging economies in general and BRIC(S) in particular.)

Gross domestic product (GDP) (The sum of value added by resident firms, households, and governments operating in an economy.)

Gross national income (GNI) (GDP plus income from non-resident sources abroad. GNI is the term used by the World Bank and other international organizations to supersede the term GNP.)

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Group of 20 (G-20) (The group of 19 major countries plus the European Union (EU) whose leaders meet on a biannual basis to solve global economic problems.)

International business (IB) ((1) A business (or firm) that engages in international (cross-border) economic activities and/or (2) the action of doing business abroad.)

International premium (A significant pay raise when working overseas.)

Liability of foreignness (The inherent disadvantage that foreign firms experience in host countries because of their non-native status.)

Multinational enterprise (MNE) (A firm that engages in foreign direct investment (FDI).)

Nongovernmental organization (NGO) (An organization that is not affiliated with governments.)

Purchasing power parity (PPP) (A conversion that determines the equivalent amount of goods and services that different currencies can purchase.)

Reverse innovation (An innovation that is adopted first in emerging economies and is then diffused around the world.)

Risk management (The identification and assessment of risks and the preparation to minimize the impact of high-risk, unfortunate events.)

Scenario planning (A technique to prepare and plan for multiple scenarios (either high- or low-risk).)

Semiglobalization (A perspective that suggests that barriers to market integration at borders are high, but not high enough to insulate countries from each other completely.)

Triad (North America, Western Europe, and Japan.)

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